

What Is the Market Paying For?

A Comparative Valuation Analysis of Microsoft, Adobe and Netflix

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MSFT · ADBE · NFLX | MARKET SNAPSHOT 9 SEPTEMBER 2026 · TRAILING MULTIPLES · NOT AN INTRINSIC VALUATION

PAGE 1 · VALUATION SNAPSHOT

Three companies operating digital business models trade at materially different valuations. Microsoft carries the largest valuation premium in the peer set, Adobe trades at the lowest multiples and the highest free cash flow yield, and Netflix occupies the middle ground on every measure shown. This analysis sets those valuations beside the financial characteristics that accompany them.

Microsoft	Adobe	Netflix
LARGEST VALUATION PREMIUM	LOWEST MULTIPLES, HIGHEST YIELD	MIDDLE GROUND THROUGHOUT
27.30x P / E	14.01x P / E	23.19x P / E
11.16x EV / Revenue	4.08x EV / Revenue	6.70x EV / Revenue
1.83% FCF yield	10.15% FCF yield	3.52% FCF yield

EXHIBIT 1.1 · VALUATION AND FINANCIAL CHARACTERISTICS, MARKET SNAPSHOT 9 SEPTEMBER 2026

MEASURE	MICROSOFT	ADOBE	NETFLIX
MARKET			
Share price	\$491.65	\$254.86	\$76.03
VALUATION MULTIPLES			
P / E	27.30x	14.01x	23.19x
EV / Revenue	11.16x	4.08x	6.70x
EV / EBIT	23.85x	11.30x	22.58x
P / FCF	54.50x	9.86x	28.39x
FCF yield	1.83%	10.15%	3.52%
FINANCIAL CHARACTERISTICS			
LTM revenue growth	17.79%	11.49%	16.02%
Operating margin	46.78%	36.07%	29.68%

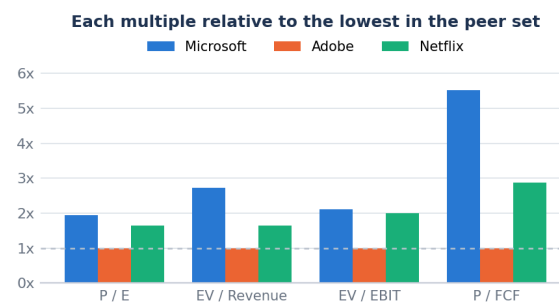
Bold marks the highest value on a row. It is a factual maximum, not a judgement. Market data is measured on the common date of 9 September 2026; the LTM denominators are each company's latest available reporting period and do not share an identical fiscal end date.

The three companies compared here all sell digital products or services, yet the market prices them on very different terms. Microsoft is the most expensive in the peer set on all four price and value multiples and carries the lowest free cash flow yield. Adobe is the least expensive on all four and carries the highest yield. Netflix sits between the two on every one of the five measures.

The spread is wide. Microsoft's P / E of 27.30x is 1.95 times Adobe's 14.01x, its EV / Revenue of 11.16x is 2.74 times Adobe's 4.08x, and its P / FCF of 54.50x is 5.53 times Adobe's 9.86x. The dispersion is therefore not uniform across measures: the gap between the most and least expensive company is widest on the cash flow multiple and narrowest on earnings.

Each of the next three pages places one valuation multiple beside a related financial characteristic, and the final page draws the four dimensions together.

EXHIBIT 1.2 · DISPERSION ACROSS THE PEER SET



Each multiple expressed relative to the lowest observation in the peer set, which is set to 1.0x. Adobe is the lowest on all four, so it forms the baseline throughout. The chart shows where the valuation gap is widest.

HOW THIS ANALYSIS IS FRAMED

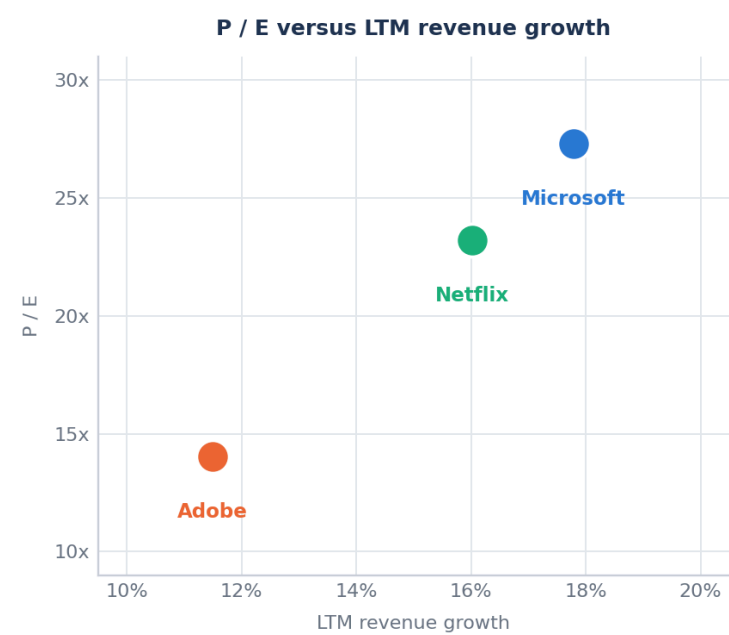
No company is described as undervalued or overvalued anywhere in this case study. The purpose is to identify which financial characteristics accompany each level of valuation, not to select between the three companies. No composite score, ranking, target price or investment recommendation is produced.

Earnings multiples beside recent growth

Microsoft and Netflix combine faster recent revenue growth with higher earnings multiples. Adobe trades at a substantially lower earnings multiple alongside slower growth that remains in double digits.

LTM REVENUE GROWTH		P / E		NET MARGIN		P / E RELATIVE TO THE PEER LOW	
MSFT	17.79%	MSFT	27.30x	MSFT	40.31%	MSFT	1.95x
ADBE	11.49%	ADBE	14.01x	ADBE	28.69%	ADBE	1.00x
NFLX	16.02%	NFLX	23.19x	NFLX	28.22%	NFLX	1.65x

EXHIBIT 2.1 · P / E VERSUS LTM REVENUE GROWTH



Three observations on a common market date. The chart positions the companies relative to one another; it is not a fitted relationship.

Microsoft records the fastest recent revenue growth in the peer set at 17.79% and the highest earnings multiple at 27.30x. Netflix follows on both measures, growing at 16.02% and trading at 23.19x. Adobe grows most slowly of the three at 11.49% and trades at 14.01x, less than the other two by a wide margin.

The two faster growers therefore carry the two higher earnings multiples, and the slower grower carries the lower one. That ordering is worth stating plainly, but it is worth stating carefully as well. Three observations cannot establish a relationship between growth and valuation, and no line is fitted to them here. Growth is one of several characteristics that differ across these companies, and the pages that follow show that the ordering by valuation does not hold in the same way on every measure.

Adobe's growth is slower than that of its peers but it is not slow. At 11.49% it remains in double digits, from the smallest revenue base of the three. The contrast on this page is between 11.49% and 17.79%, not between growth and its absence.

EXHIBIT 2.2 · EARNINGS MEASURES IN DETAIL

MEASURE	MICROSOFT	ADOBE	NETFLIX
LTM revenue growth	17.79%	11.49%	16.02%
P / E	27.30x	14.01x	23.19x
Net margin	40.31%	28.69%	28.22%
EV / EBIT	23.85x	11.30x	22.58x

ONE COMPARABILITY CAUTION VISIBLE IN THE DATA

P / E is struck after tax and every below-the-line item, while EV / EBIT is struck before them. The proportion of operating income that survives to net income differs materially across these three companies: 95.09% at Netflix, 86.16% at Microsoft and 79.53% at Adobe. The two multiples therefore do not order the companies by the same economics, which is why both are reported. The drivers of that difference are not identifiable from this dataset and none is assumed here.

The highest operating margin carries the highest revenue multiple

Microsoft combines the highest operating profitability in the peer set with the highest revenue valuation multiple. Adobe combines strong profitability with materially lower enterprise value multiples. Netflix trades on an EV / EBIT multiple close to Microsoft's despite the lowest operating margin of the three.

OPERATING MARGIN		EV / REVENUE		EV / EBIT		NET INCOME TO OPERATING INCOME	
MSFT	46.78%	MSFT	11.16x	MSFT	23.85x	MSFT	86.16%
ADBE	36.07%	ADBE	4.08x	ADBE	11.30x	ADBE	79.53%
NFLX	29.68%	NFLX	6.70x	NFLX	22.58x	NFLX	95.09%

EXHIBIT 3.1 · EV / REVENUE VERSUS OPERATING MARGIN

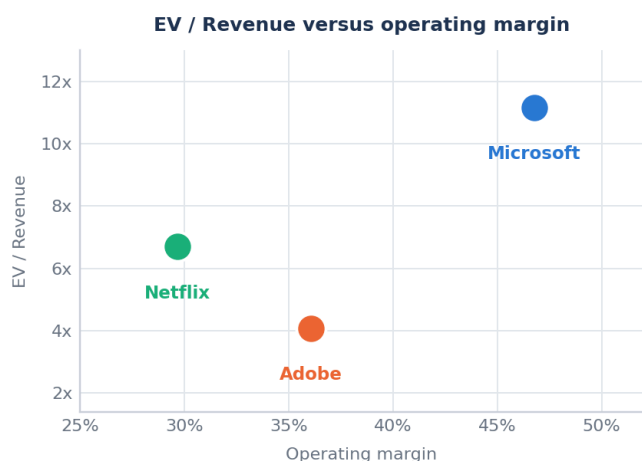
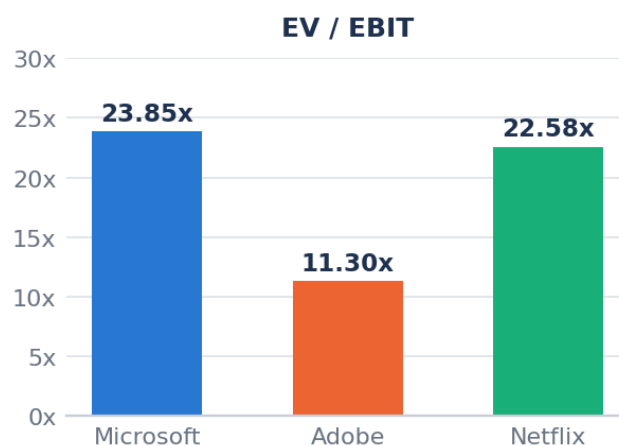


EXHIBIT 3.2 · EV / EBIT BY COMPANY



EV / Revenue and EV / EBIT order the three companies differently. Netflix moves from clearly below Microsoft on the revenue multiple to close to it on the earnings multiple.

Microsoft records the highest operating margin of the three at 46.78% and the highest EV / Revenue multiple at 11.16x. A company converting a larger share of each revenue dollar into operating profit is, on this evidence, valued more highly per unit of revenue. Adobe sits second on operating margin at 36.07% but lowest on EV / Revenue at 4.08x, so the ordering on the two measures is not identical.

Netflix records the lowest operating margin at 29.68% and an EV / Revenue multiple of 6.70x, above Adobe's despite the thinner margin. On EV / EBIT the picture changes again: Netflix trades at 22.58x against Microsoft's 23.85x, a gap of 1.27x, while Adobe sits well below both at 11.30x.

The reason the two enterprise value multiples order the companies differently is arithmetic. EV / Revenue is EV / EBIT multiplied by the operating margin, so a company with a thinner margin can trade close to a peer on EV / EBIT while sitting well below it on EV / Revenue. Netflix is that company here.

The practical point is that no single multiple should be read in isolation. Ranking the three on EV / Revenue places Netflix comfortably below Microsoft. Ranking them on EV / EBIT places Netflix almost alongside it. Both statements are true, and each describes a different denominator.

EXHIBIT 3.3 · ENTERPRISE VALUE MEASURES AND THE MARGINS BENEATH THEM

MEASURE	MICROSOFT	ADOBE	NETFLIX
Operating margin	46.78%	36.07%	29.68%
EV / Revenue	11.16x	4.08x	6.70x
EV / EBIT	23.85x	11.30x	22.58x
Net margin	40.31%	28.69%	28.22%

Enterprise value is used exactly as supplied in the source dataset. The provider's enterprise value definition is not disclosed there, and it does not reconcile to the separately supplied net cash and net debt figures. That difference is quantified and disclosed in the workbook rather than adjusted, and it affects only the two EV-based multiples on this page.

The widest valuation gap in the peer set

Adobe stands out for the combination of the highest free cash flow margin and the highest free cash flow yield. Microsoft's substantially higher P / FCF reflects a much higher market valuation relative to its current free cash flow.

P / FCF		FCF YIELD		FCF MARGIN		LTM FREE CASH FLOW	
MSFT	54.50x	MSFT	1.83%	MSFT	20.19%	MSFT	\$67.0bn
ADBE	9.86x	ADBE	10.15%	ADBE	40.80%	ADBE	\$10.3bn
NFLX	28.39x	NFLX	3.52%	NFLX	23.06%	NFLX	\$11.2bn

EXHIBIT 4.1 · P / FCF VERSUS FCF MARGIN

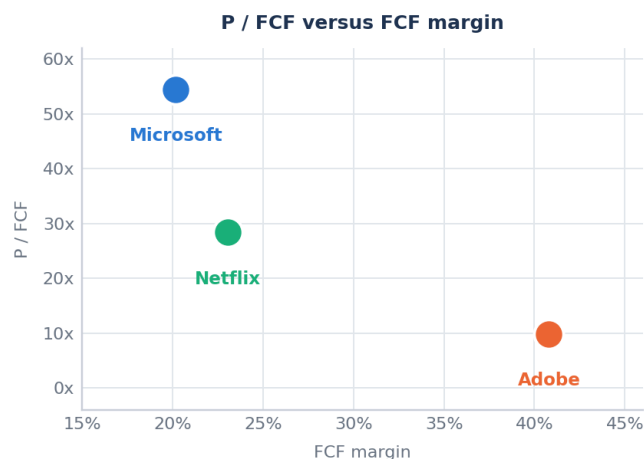
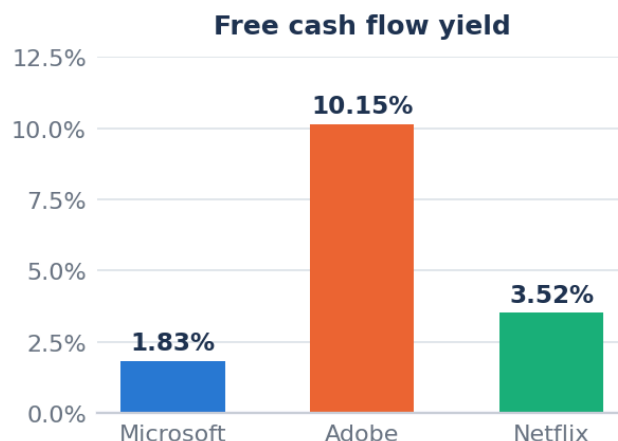


EXHIBIT 4.2 · FREE CASH FLOW YIELD



The free cash flow yield is the reciprocal of P / FCF. It expresses trailing free cash flow as a percentage of market capitalisation and is a valuation measure, not a cash distribution to shareholders.

Cash generation produces the widest valuation dispersion in this comparison. Microsoft trades at 54.50x its trailing free cash flow, Netflix at 28.39x and Adobe at 9.86x. Expressed as a yield, that is 1.83%, 3.52% and 10.15% respectively. The ratio between the highest and lowest observation is 5.53x, against 1.95x on P / E.

Adobe holds both the highest free cash flow margin at 40.80% and the highest free cash flow yield at 10.15%. It converts a larger share of revenue into free cash flow than either peer and is priced at the lowest multiple of that cash flow. That combination is the clearest single result in this analysis.

Microsoft sits at the other end on both counts. Its free cash flow margin of 20.19% is the lowest of the three, and its P / FCF of 54.50x is by far the highest. Microsoft generates the largest absolute free cash flow in the peer set at \$67.0bn, roughly six times Adobe's \$10.3bn, but its market capitalisation is larger still by a wider ratio.

Netflix sits between the two on all three measures, with a free cash flow margin of 23.06%, a P / FCF of 28.39x and a yield of 3.52%. Its free cash flow of \$11.2bn is close to Adobe's in absolute terms while its market capitalisation is roughly three times larger.

EXHIBIT 4.3 · CASH GENERATION AND THE PRICE PAID FOR IT

MEASURE	MICROSOFT	ADOBE	NETFLIX
LTM free cash flow (\$bn)	67.0	10.3	11.2
FCF margin	20.19%	40.80%	23.06%
P / FCF	54.50x	9.86x	28.39x
FCF yield	1.83%	10.15%	3.52%

Free cash flow is defined as operating cash flow less capital expenditure, applied consistently to all three companies. P / FCF and FCF yield are both struck on market capitalisation and are unaffected by the enterprise value definition noted on page 3.

Four dimensions, three different combinations

The three companies lead on different dimensions. What distinguishes them is not the level of any single measure but the combination of growth, profitability, cash generation and balance-sheet position that accompanies each valuation.

Microsoft

Highest recent revenue growth in the peer set at 17.79%. Highest operating margin at 46.78% and highest net margin at 40.31%. Strongest balance sheet, with net cash of \$36.6bn and the lowest leverage at 0.09x debt to equity. Highest valuation premium, leading on P / E, EV / Revenue, EV / EBIT and P / FCF, and carrying the lowest free cash flow yield at 1.83%.

Adobe

Lowest valuation multiples of the three on all four price and value measures. Highest free cash flow margin at 40.80% and highest free cash flow yield at 10.15%. Growth of 11.49% is slower than both peers while remaining in double digits, from the smallest revenue base. Balance sheet close to neutral, with net cash of \$0.4bn.

Netflix

Strong recent growth at 16.02%, second of the three and close to Microsoft. Lowest operating margin at 29.68%, yet a net margin of 28.22% that is close to Adobe's. Valuation between Microsoft and Adobe on every one of the five measures. The only net debt position in the peer set at \$5.4bn, with leverage of 0.54x.

EXHIBIT 5.1 · VALUATION AND FINANCIAL CHARACTERISTICS SIDE BY SIDE

DIMENSION	MICROSOFT	ADOBE	NETFLIX
Growth	Fastest at 17.79%	Slowest at 11.49%, still double digit	16.02%, close to Microsoft
Profitability	Highest operating margin 46.78% and net margin 40.31%	Operating margin 36.07%, net margin 28.69%	Lowest operating margin 29.68%, net margin 28.22%
Cash generation	Lowest FCF margin 20.19%, largest absolute FCF at \$67.0bn	Highest FCF margin 40.80% and highest yield 10.15%	FCF margin 23.06%, between the two
Balance sheet	Net cash \$36.6bn, leverage 0.09x	Near neutral, net cash \$0.4bn, leverage 0.53x	Net debt \$5.4bn, leverage 0.54x
Valuation	Highest on all four multiples, lowest yield	Lowest on all four multiples, highest yield	Between the two on all five measures

Setting the four dimensions beside the valuations shows that each company presents a different combination rather than a better or worse version of the same thing. Microsoft pairs the fastest growth, the widest margins and the strongest balance sheet with the highest multiples. Adobe pairs the strongest cash generation and the lowest multiples with the slowest growth. Netflix pairs strong growth and an improving financial profile with the thinnest operating margin, a net debt position and a valuation between the two.

Valuation differences of this kind represent different combinations of growth expectations, profitability, cash generation characteristics, financial risk and other expectations embedded in market prices. This analysis does not establish which of those factors produces any particular multiple. It compares observed prices with observed financial characteristics on a common market date, and a comparison of three companies at one point in time cannot demonstrate causation.

METHODOLOGY AND LIMITATIONS

- Common market date.** Share price, market capitalisation and enterprise value are all measured on 9 September 2026, the same day for all three companies.
- LTM reporting periods differ.** The denominators are each company's latest available reporting period. Microsoft's fiscal year ends 30 June, Adobe's in late November and Netflix's on 31 December, so they do not share a single period end.
- Multiples are trailing, not forward.** Every multiple pairs a current market numerator with a historical denominator.
- No consensus estimates are used.** No forward earnings, analyst forecasts or broker research appear anywhere in this analysis.
- No target prices are generated.** No intrinsic valuation, discounted cash flow or peer-implied value is produced.
- Three companies are descriptive only.** The scatter charts carry three observations each. They position the companies relative to one another and are not fitted relationships or statistically significant correlations.
- Enterprise value definition.** Enterprise value is used as supplied and does not reconcile to the separately supplied net cash and net debt figures. The difference is disclosed in the workbook rather than adjusted, and no cause is inferred.
- Free cash flow** is operating cash flow less capital expenditure, applied consistently. FCF yield is a valuation measure, not a distribution to shareholders.

PUBLIC SOURCES

Market data, 9 September 2026. Share price, market capitalisation and enterprise value are taken from public market-data pages on the common market date. Market data is a point-in-time observation and will not reproduce if retrieved later.

Financial-statement validation sources. Microsoft: FY2026 Form 10-K and Investor Relations SEC filings. Adobe: FY2025 Form 10-K and Q2 FY2026 Form 10-Q. Netflix: FY2025 Form 10-K and Q2 2026 Form 10-Q. All are filed with the US Securities and Exchange Commission and are available from each company's investor-relations site and from the SEC EDGAR system.

Status. These filings are the public source trail and validation route for the financial information used here. They are not asserted to be the direct extraction source of the analytical input file, and the figures have not been reconciled line by line to those documents. What has been verified is internal consistency: the supplied margin percentages agree with margins recomputed from the supplied revenue, operating income, net income and free cash flow figures to within 0.01 percentage points.

CONCLUSION

Lower multiples do not automatically indicate undervaluation, and higher multiples do not automatically indicate overvaluation. Comparative valuation is most useful when the price investors are paying is considered alongside the financial characteristics supporting that price.